

Vocabulary Development: Words Associated with Investment

An asset or item acquired with the goal of generating income or appreciation over time.

Words related to investments

Asset	Stock	Capital	Bond
Investing	Diversification	Mutual fund	Equity
Shareholder	Dividend	Sector	Venture capital
Fund	Growth	Broker	Cash
Capital	Chips	Finance	Hedge
Interest	Business	Income	Commitment
Speculation	Bank	Development	Debt
Holdings	Leveraged	Share	Brokeage
Cash flow	Trade	Securities	Purchase
Profit	Loans	Companies	Firms
Insurance	Bills	Arbitrage	

1. Annual Return: An annual rate of return is the profit or loss on an investment over a one year period.
2. Bond: Bond are investment securities where an investor lend money to a company or a government for a set period of time
3. Hedge: Is to take an offsetting position in an asset or investment that reduces the price risk of an existing position.
4. Equity: Is the amount of capital invested or owned by the owner of a company.
5. Leverage: To using debt borrowed funds to amplify returns from an investment or project.
6. Brokeage: It provides intermediary services in various areas e.g investing, obtaining a loan or purchasing real estate.
7. Shareholder: Is a person, company or institution that owns at least one share of a company's stock or in a mutual fund.
8. Dividend: Is a sum of money or reward paid to the shareholders for their investment in a company's equity.

9. Arbitrage: The act of buying a security in one market and simultaneously selling it in another market at a higher price
10. Insurance: Is a means of protecting from financial loss in which in exchange for a party agree to compensate another party in the event of a certain loss, damage or injury.

Assignment

Write out ten more words that are associated with Investment and their meanings.